

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

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UNITED STATES OF AMERICA, : 23-CR-496(ENV)

Plaintiff , :

-against- : United States Courthouse
Brooklyn, New York

ANATOLY LEGKODYMOV, :

Defendant. : July 18, 2024
12:30 p.m.

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TRANSCRIPT OF SENTENCING
BEFORE THE HONORABLE ERIC N. VITALIANO
UNITED STATES SENIOR DISTRICT JUDGE

APPEARANCES:

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United States Attorney
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NATIONAL CRYPTOCURRENCY
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Proceedings recorded by mechanical stenography, transcript
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1 (In open court.)

2 THE COURTROOM DEPUTY: All rise.

3 Court is now open. The Honorable Eric N. Vitaliano
4 is presiding.

5 Case on the calendar is U.S.A. versus Legkodymov,
6 Case No. 23-CR-496, on for sentencing.

7 Will the attorneys please note their appearance,
8 beginning with Government counsel.

9 MR. MINDLIN: Good afternoon, Your Honor.

10 For the Government, Assistant United States Attorney
11 Alexander Mindlin.

12 I'm joined with my colleague, National
13 Cryptocurrency Enforcement Team, Trial Attorney Sarah Wolfe.

14 MS. WOLFE: Good afternoon.

15 THE COURT: Good afternoon, Mr. Mindlin, and
16 everyone at your table.

17 MR. SCHAMEL: Good afternoon, Your Honor.

18 Mark Schamel on behalf of Mr. Legkodymov, who is
19 present to my right.

20 And with the Court's permission, previously allowed
21 me to have my two colleagues who are not admitted in this
22 court sitting at the table with -- I would ask -- I would make
23 the same request. I think there is no objection from the
24 Government for Mr. O'Brien.

25 THE COURT: Good afternoon, Mr. Schamel.

1 And yes, your request was granted. So, welcome to
2 you and all your colleagues. And to Mr. Legkodymov, also.

3 MR. SCHAMEL: Thank you, Your Honor.

4 THE COURTROOM DEPUTY: We also have Probation, who
5 needs to note their appearance for the record.

6 MS. HOULTON: Roberta Houlton, Probation.

7 Good afternoon, Your Honor.

8 THE COURT: Good afternoon, Officer Houlton.

9 Good to have you.

10 THE COURTROOM DEPUTY: And finally, we also have a
11 Russian interpreter, who needs to note her appearance for the
12 record and also needs to be sworn.

13 Please raise your right hand.

14 (Interpreter sworn/affirmed.)

15 THE INTERPRETER: I'd like to make a comment that
16 the Defendant speaks English, so I will be here on a standby
17 basis.

18 THE COURT: Repeat that.

19 THE INTERPRETER: I'm sorry.

20 THE COURT: Everybody could be seated and speak into
21 the microphones. That's the, hopefully, post-COVID protocols.

22 THE INTERPRETER: So what I said, I'm not going to
23 interpret for the Defendant because he speaks English. I will
24 be standing by.

25 THE COURT: So you will be a standby interpreter in

1 the Russian language?

2 THE INTERPRETER: Yes.

3 THE COURT: And welcome either way. It's nice to
4 have you.

5 THE INTERPRETER: Thank you.

6 MR. SCHAMEL: And for the record, Your Honor, we're
7 comfortable that Mr. Legkodymov has some conversational
8 English and if anything comes up we'll certainly ask the Court
9 just for a moment to allow for interpretation.

10 THE COURT: No problem.

11 THE COURTROOM DEPUTY: All parties are present,
12 including the Defendant.

13 THE COURT: All right. Welcome again, all.

14 And I begin with you, Mr. Schamel.

15 Is Mr. Legkodymov ready for sentencing?

16 MR. SCHAMEL: We are prepared for it, Your Honor.
17 Thank you.

18 THE COURT: All right.

19 Let me go through my usual liturgy.

20 Most of the time I know the answers to these
21 questions, sometimes I get a surprise, but I'm going to begin
22 in the usual fashion and inquire whether either side believes
23 they are entitled to and are requesting a Fatico hearing.

24 Mr. Schamel.

25 MR. SCHAMEL: No, Your Honor.

1 THE COURT: And Mr. Mindlin.

2 MR. MINDLIN: No, Your Honor.

3 THE COURT: Let me also establish on the record that
4 the Probation Department has supplied us with the PSR.

5 And one addendum, I believe; Officer Houlton, is
6 that correct?

7 MS. HOULTON: Just the one, Your Honor, yes.

8 THE COURT: And the inquiry then to you,
9 Mr. Schamel, is whether you have received them and had a full
10 and fair opportunity to review them with Mr. Legkodymov.

11 MR. SCHAMEL: I certainly reviewed the PSR.

12 And I apologize, I just would like to have reference
13 to what the addendum is. I may have received it, I just don't
14 know when it came in.

15 May I just approach Probation, Your Honor?

16 THE COURT: Yes, please.

17 It's not long.

18 (Pause in proceedings.)

19 MR. SCHAMEL: Your Honor, I didn't have that, but
20 it's very straightforward. Probation provided me with copies
21 since the Government's review don't have it.

22 I don't know, maybe we aren't getting every ECF
23 report because, for example, I didn't know Your Honor had
24 advanced the sentencing until two days ago, from Friday to
25 Thursday, and it was just -- I don't know if it's been caught

1 in our spam filter or something, but I didn't get it.

2 So I may have missed this, but I have it now.

3 THE COURT: Okay. It is rather straightforward.

4 MR. SCHAMEL: It's very straightforward, Your Honor,
5 so we don't need any additional time.

6 THE COURT: That is wonderful.

7 And, Mr. Mindlin, same inquiry. Hopefully it didn't
8 get stuck in your spam. Did you receive a copy of it?

9 MR. MINDLIN: I did, Judge.

10 THE COURT: Have you had a chance to review both the
11 addendum and the PSR?

12 MR. MINDLIN: Yes, Your Honor.

13 THE COURT: That is wonderful.

14 The record will further reflect that Probation had
15 not made available to the Court any confidential information
16 about either the offense of conviction or the personal history
17 and characteristics of Mr. Legkodymov that has not been shared
18 with both sides, so therefore, we are working off the same
19 record for purposes of sentencing.

20 With respect to that record, I make inquiry in three
21 separate parts to see whether or not there are any objections
22 or exceptions to that record.

23 The first area of inquiry are the paragraphs that
24 describe the offense of conviction and the personal history
25 and characteristics of the Defendant.

1 Are there any objections or exceptions to those
2 paragraphs?

3 Mr. Schamel.

4 MR. SCHAMEL: No exceptions to the personal history
5 and that information is contained.

6 The objections that we have to the Guidelines
7 calculation, the loss calculation --

8 THE COURT: That is coming.

9 MR. SCHAMEL: Okay.

10 That's the only thing in the PSR that we found, and
11 I will explain to Your Honor what our objections are.

12 THE COURT: All right. That is going to be number
13 two.

14 Mr. Mindlin, any objections or exceptions with
15 respect to that last paragraph?

16 MR. MINDLIN: No, Your Honor.

17 THE COURT: All right.

18 Next is the paragraphs that compute the offense
19 level, which includes the issue that Mr. Schamel has
20 previewed.

21 And Officer Houlton, as reflected in the PSR, what
22 did Probation compute the offense level to be?

23 MS. HOULTON: Level 43.

24 THE COURT: So, that is the parameters of our
25 inquiry.

1 Mr. Schamel, you go first.

2 MR. SCHAMEL: Yes, Your Honor.

3 And let me preface this by saying, I understand
4 exactly why Probation came to that determination. They
5 relied -- and they informed me that they relied on the numbers
6 provided by the Government.

7 But as Your Honor has received from us both our
8 initial sentencing memorandum and a more fulsome response that
9 Mr. Mindlin keeps pointing out to me was over 90 pages, and I
10 know Your Honor has had an opportunity to review, we've laid
11 out why we think that \$700 million number is vastly incorrect.
12 That there's \$31,000 traceable directly to United States
13 citizens, even by the Government's own estimate that there's
14 only about \$15 million as traceable, as they claim, to
15 ransomware attacks that would have come to United States
16 victims through Hydra into the Bitzlato exchange. And so, our
17 position is both that the numbers are wrong -- and we can
18 talk, I'm happy to go a little more deeply into that if
19 Your Honor would like me to.

20 But the idea that because he owned an exchange that
21 he had knowledge of some of these things -- for example, I
22 would point out to the six-point enhancement that's found on
23 page ten of the PSR that talks about knowing that they were
24 controlled substances. And the Government would like to rely
25 on just a couple of messages, internal messages at Bitzlato

1 that talk about, quote, "addicts." And we explained to them
 2 sort of ad nauseam what that means and it doesn't relate to
 3 drugs. But more importantly, the Government has offered zero
 4 evidence as to what drugs it relates to, in what jurisdiction
 5 and by whom, and the idea that they can say that you're going
 6 to get a six-point enhancement for drugs when nobody has said
 7 anything about where those drugs were or what they were. For
 8 example, in Poland there's a whole different scheme of
 9 legality for controlled substances. So, are we talking about
 10 off-label pharmaceuticals, like when people go to Canada? Are
 11 we talking about marijuana, that's legal in many states in
 12 this country although not federally? Are we talking about
 13 cocaine? Are we talking about heroin? Are we talking about
 14 MDMA? There's nothing in this record, nothing the
 15 Government's provided to us, nothing the Government's provided
 16 to the Court, nothing that we are aware of despite multiple
 17 requests to pinpoint at any point that there were drugs
 18 involved in the transaction on the Hydra exchange. Certainly
 19 not worthy of a six-point enhancement.

20 Further, there is this idea --

21 THE COURT: Well, let's take them one by one.

22 If you are moving off the six-point enhancement, I
 23 will ask Mr. Mindlin what he has to say about that.

24 MR. MINDLIN: Certainly, Your Honor.

25 It's well established, the fact that the Defendant

1 understood that one of the main purposes of his platform was
2 to provide a way for cryptocurrency to flow in and out of
3 Hydra Market. And the Defendant knew that the Hydra Market
4 was a bazaar for drugs. In fact, that was the first sentence
5 for the Russian-language Wikipedia article about Hydra Market
6 that the Defendant requested from his subordinates and duly
7 reviewed.

8 Below the level of the Defendant, his legions of
9 customer service people were regularly receiving inquiries
10 like: I would like to buy opiates on Hydra Market. The
11 fanciful notion that all of these people were buying some sort
12 of Schedule IV tranquillizer that is legal in Poland has no
13 basis here. Hydra Market was a known animal. This is what it
14 was known to be doing.

15 THE COURT: Mr. Schamel.

16 MR. SCHAMEL: Your Honor, what just happened is
17 what's happened since day one of this case.

18 And again, I don't mean any disrespect to
19 Mr. Mindlin. I've actually sort of come to like him. I just
20 think he's missing this.

21 Because to say there's -- people at a lower level --
22 again, I'm not trying to be in any way pejorative to the sort
23 of entry-level people that were working at Bitzlato, but we're
24 talking about people who were working in a call center and
25 he's a founder. And there has never been a connection between

1 what people in the call center were doing and what they're
2 attributing to Mr. Legkodymov. Right?

3 First of all, you have to remember the history of
4 Bitzlato. This was created and it was offered for free. It
5 was offered for free for a few years before they ever started
6 making any money on it. This was not created to run Hydra
7 Market. This was not created for drugs of Hydra Market. And
8 to cherry-pick from hundreds of thousands of transactions what
9 an entry-level person is doing in a call center and attribute
10 to Mr. Legkodymov is inappropriate.

11 Moreover, we've talked to them. When they talked
12 about addicts, we're not talking about drug addicts. These
13 are the people who do -- if you look at the context of all of
14 those exchanges, talking about people who do low-level, small
15 trades all the time and it's very, very cumbersome for
16 Bitzlato and it wasn't profitable. Those are the people that
17 they were trying to clear off the market and try to build
18 Bitzlato at the same time that they were increasing the
19 know-your-customer, increasing the AML and trying to cooperate
20 with all law enforcement who was coming to them, including
21 U.S. law enforcement, the FBI, freezing accounts, taking
22 accounts that were traceable to Hydra.

23 What Mr. Mindlin would like the Court to believe is
24 a different reality from what Bitzlato actually was. And most
25 certainly, Mr. Legkodymov was not aware that this was a,

1 quote, "drug factory" and that that's what he was doing, and
2 controlled substances. And I think absent a showing to a
3 drug, to a customer that is traceable to him, it is
4 inappropriate to give him a six-point enhancement with that.

5 MR. MINDLIN: Your Honor, if I may make a couple of
6 points on that score.

7 The first thing is that we are not talking about
8 Wal*Mart. This is an entity that at its most had 50 or 60
9 employees. So the notion that the people actually hearing
10 from users were so far-removed from the control level that
11 nothing then needs to be attributed to the Defendant seems
12 factually not credible.

13 Beyond that, the crime that Mr. Legkodymov pled
14 guilty to was owning a money transmitting business that
15 handled illicit proceeds. It is a crime involving creating
16 and running an entity that does this. And we're no longer in
17 an era, and haven't been for decades, in an era where the CEO
18 of a company gets to say: I didn't know what was happening
19 because I'm just a CEO. Least of all, when the person's
20 designed an entity whose founding credo was that no KYC is
21 required and people don't have to provide ID, this is a
22 predictable consequence of Bitzlato's design.

23 With respect to the point that Mr. Schamel makes
24 about drugs, I don't think that is at all credible, given the
25 actual context in which these comments were made. For

1 example, the Defendant's subordinate or colleague told him
 2 that Bitzlato's users were sands of dark resources, drug
 3 addicts and other dirt and that they were criminals, but the
 4 big guys were going to get fake IDs anyway. And the Defendant
 5 responded: Just getting a bunch of druggies on the cheap is
 6 not a good business strategy. Given the reference to
 7 criminals, I don't understand the claim that, in fact, the
 8 word "addicts" was being used in some special, rarified jargon
 9 of small-time users.

10 The other example to which Counsel referred to is
 11 even less realistic. The Defendant and his colleague were
 12 having a conversation about the crackdown on drug-seeking
 13 users and the way that it hurts the site and the Defendant's
 14 response explicitly referred to people seeking out cannabis.

15 So I think that it simply does not stand on two feet
 16 that these were all references to addictive uses of
 17 cryptocurrency platforms, especially given the Wikipedia
 18 article about Hydra Market. The first sentence described
 19 Hydra Market as one of the premier resources for buying drugs
 20 online.

21 THE COURT: I am going to short-circuit this
 22 argument.

23 I believe there is enough -- and Mr. Mindlin has
 24 outlined it a bit here in open court and more fully in the
 25 papers -- to conclude that Mr. Legkodymov was aware that the

1 transmitting business that he was operating actually was
2 serving customers who, among other things, were involved in
3 narcotics transactions. It is enough to, in the Court's view,
4 to justify the six-level enhancement for the official
5 Guidelines algebra that we are now computing.

6 It probably comes as no surprise -- it shouldn't
7 come as a surprise to Mr. Schamel since he's cited something
8 like cases, vast cases in his papers -- that when the economic
9 numbers get as high as the numbers are in this case, I find
10 the official Guidelines to be totally useless and I do not use
11 them in my calculation of the sentence. I do use what I
12 dubbed years ago to be the shadow Guidelines, as proposed by
13 the ABA. But we are operating in a regime that requires us to
14 do our best to compute the official Guidelines at the time of
15 sentencing, even if we don't intend to, as is the case here,
16 to follow them.

17 But I do believe that with respect to the
18 enhancement of the narcotics transactions, that there is
19 enough in the record to satisfy the preponderance test and the
20 Court will, in its calculation, embrace the six-level
21 enhancement.

22 But I know that is not where your objection ends,
23 Mr. Schamel, so we are back to you.

24 MR. SCHAMEL: It's not, Your Honor.

25 And let me say, first of all, I appreciate the

1 commentary you had with the law of your sentencing. And I am
2 with you, that when we get to these sort of astronomical
3 numbers it loses all sort of connection to common sense.

4 Here I think it's important to understand,
5 particularly given what Mr. Mindlin just said, there's two
6 really important factors that I think I would like the Court
7 to consider as even looking at the shadow Guidelines.

8 Number one, while this wasn't Wal*Mart -- I never
9 claimed that it was -- it doesn't have a significant number of
10 employees, but it has enough employees and they were in
11 Russia. And as Mr. Mindlin knows -- and the Government has
12 never raised an issue and has no way to controvert as a fact
13 here -- 14 months prior to his arrest and his travel to the
14 United States, Mr. Legkodymov was living in China. He and his
15 family were living in China. He was working on other things.
16 He was still involved. I'm not suggesting that he wasn't
17 communicating with the people of Bitzlato, but he wasn't even
18 in the country. He was in China. And as Mr. Mindlin also
19 knows, he had ridden over 3,000 miles on his bicycle during
20 the course of that year. That's a lot of hours on a bicycle.
21 He is not dealing with the call center. He's not dealing with
22 the day-to-day. And as Mr. Mindlin knows -- it's in some of
23 the various pleadings, both ours and theirs -- there are
24 things where he's saying, look, if you don't get it together,
25 if you don't do a better job, if we don't follow the mark of

1 these banks and other places and increase our AML and help
2 with better KYC, I'm going to shut this down. So I think
3 that's a really important overlay for the objections we're
4 making.

5 And the second one is, and I think this one is even
6 more important, none of these transactions involve Americans.
7 None of them. We can trace \$31,000 as directly attributable
8 to the United States. And I have reason to believe, although
9 we've never got to this because we pled early -- and I would
10 be very curious if the Court made this inquiry -- I have
11 reason to believe that the FBI actually tried to get on the
12 Bitzlato exchange using a U.S. passport and was denied, that
13 the United States passport was an automatic revocation, could
14 not be on the Bitzlato portal -- or the Bitzlato exchange,
15 excuse me, if you had a U.S. passport and that Bitzlato, from
16 the day of its inception, was designed not to be dealing with
17 Americans. It was founded in Hong Kong. It was working and
18 focused on Eastern and Western Asia and Eastern Europe, the
19 former Soviet Union. The overwhelming majority of its
20 transactions involved the former Soviet Union. Most of its
21 employees were either Russian or Ukrainian. So, this was not
22 an American exchange and I just want to make sure that we're
23 very, very clear about that part.

24 On the next point, Your Honor, and then I guess we
25 can talk about the loss calculation. But the business of

1 laundering funds, Bitzlato was not created for the business of
 2 laundering funds. That's not what its goal was. That's not
 3 what it was doing and this is not a money laundering case. I
 4 understand that the statute is equivalent to a junior varsity
 5 money laundering, but it's not money laundering. This is a
 6 statute -- and Your Honor no doubt recalls some of the
 7 questions that came up during the course of the plea, right?
 8 How he could plea. I think Your Honor's inquiry of me was is
 9 he going to be able to plea. I know I had conversations with
 10 the Government, when we made a presentation to them, how are
 11 we going to get through a Rule 11 given his very, very low
 12 level of culpability, from our view. And so I think the idea
 13 that they're calling Bitzlato a business that was in the
 14 business of laundering funds and gets an additional four
 15 levels is also unsupported by this record.

16 MR. MINDLIN: Your Honor, if I can briefly respond
 17 to something Mr. Schamel said before he proceeds, which he's
 18 welcome to do.

19 THE COURT: Sure.

20 MR. MINDLIN: I told Mr. Schamel that his client
 21 would not be able to plead guilty, the Government would not
 22 allow an allocution to anything less than a full-throated
 23 acceptance of responsibility for the crime charged. I just
 24 don't want to leave any lack of clarity on the record. I seem
 25 to hear a suggestion that the Government said something like

1 how are we going to get through Rule 11.

2 THE COURT: No, I think the plea allocution, as I
3 remember, was quite clear. And quite clearly, it was
4 supplemented by representations that you made, a response by
5 Mr. Schamel and a direct inquiry from me to you, Mr. Mindlin,
6 as to whether or not, as recited, that the allocution
7 satisfied all of the touchstones that you have just announced
8 that you would accept nothing less than. And my understanding
9 is that you believe that you got nothing less than that.

10 MR. MINDLIN: Yes, Your Honor. Thank you.

11 And having interrupted, I would like to invite
12 Mr. Schamel to continue.

13 MR. SCHAMEL: As he says, Your Honor, that was
14 unartful and -- and I don't disagree with what Mr. Mindlin is
15 saying here. That is how -- Your Honor's recollection is the
16 same as mine in these discussions. But there's a difference
17 between accepting what is necessary to get through a plea
18 agreement -- a plea colloquy on the elements and agreeing to
19 sort of the entirety of the Government's view of the case.

20 THE COURT: Well, I don't -- again, I understand
21 your point, clearly recall your representation at the time of
22 the plea that what was going on with Mr. Legkodymov's
23 understanding were, quote, "illicit transactions." And I
24 think, again, for purposes of dotting all the "i"s and
25 crossing all the "t"s and this algebraic game that we play for

1 these Guidelines calculations, there is enough from what was
2 pled and what was in the e-mails to conclude that the
3 transmitting business assisted others in laundering money for
4 criminal purposes, which is the next enhancement. That is
5 what I find.

6 MR. SCHAMEL: Understood.

7 Then I think the only other issue, Your Honor, is
8 the loss calculation. And I don't know how much more I can
9 say than we've said in our very voluminous --

10 THE COURT: Let me try to direct the conversation
11 here, too.

12 I generally am on the same page with you,
13 Mr. Schamel. The numbers, I am sure the number is what it is
14 and the Government -- not challenging the Government's
15 calculation of the nearly 800 million dollars. But I think
16 with respect to tracking it back to and finding some sort of
17 divot point in the United States -- and I guess this,
18 Mr. Mindlin, may have been in the Government's submission
19 somewhere and I take it as an offer of proof -- that as a
20 result of other investigations in which the FBI had been
21 engaged, they were able to assemble knowledge that there were
22 1.2 million in ransom transactions that are related to victims
23 in the United States. And that was the number that I was
24 willing to embrace for purposes of calculating the Guidelines,
25 as I think that is -- and which may include your 30,000 and

1 change, Mr. Schamel, I don't know, or maybe an additional
2 amount, does not matter.

3 Because from the table entry that we are working on,
4 the bottom number is 550,000 and I believe the top number
5 is -- and Officer Houlton will correct me, as she usually
6 does, if I am wrong -- I think a-million-and-a-half.

7 MS. HOULTON: That's correct, Your Honor.

8 THE COURT: And that is what? If we were in that
9 box, we would be at level 14, add 14 levels?

10 MS. HOULTON: It would be 8 plus 14, yes,
11 Your Honor.

12 THE COURT: So, that is where I am. And since
13 neither side is there, anybody is free to attack it.

14 MR. MINDLIN: Your Honor, I'm not going to attack
15 it. But I would like to say a few points about the loss
16 number, if I may.

17 THE COURT: You may.

18 MR. MINDLIN: And I recognize that all of this
19 Guidelines algebra, as Your Honor refers to it, it may be sort
20 of to the side of whether Your Honor's planning to do it as
21 far as sentencing, but we're nevertheless required to do it,
22 but I would like to make a couple of things clear.

23 Yes, that is correct about the 1.2 million in
24 ransomware funds known through other FBI investigations. I
25 would also point out that Hydra Market was not just a market

1 for drugs. It was also a market for stolen credentials and
2 for stolen identities, many of which victimized Americans. So
3 to say that the users were not predominately Americans is
4 true, but it lies in the fact that the exchange was used to
5 victimize Americans.

6 About the blockchain tracings. I read, with
7 interest, the very long expert report appended to the
8 Defendant's reply. And at the risk of trying everyone's
9 patience, I would like to point everyone to one chart in the
10 report if I could.

11 The chart in question is in the supporting exhibits
12 of the report. So if you look at the Defendant's sentencing
13 reply and you go ahead to page 33, which is the last page of
14 the report, and then you go three more pages, you're on a
15 table called Figure 1. Confusingly, there's also a Chart 1,
16 but this is Figure 1. The chart is titled something about
17 indirect Bitcoin flows. And that supports the argument that
18 the Defendant's expert tries to make, which is that indirect
19 flows of cryptocurrency, meaning across multiple hops, are
20 difficult to track and difficult to estimate.

21 And that's as may be, but what is striking about
22 this chart -- and it's mentioned only in passing in the
23 report -- is that there's also two lines about direct
24 transfers. And what those lines make clear is that the
25 figures cited by the Government in its complaint were wholly

1 corroborated by the Defendant's expert. So cryptocurrency
 2 direct flows, meaning without any intermediaries, from
 3 Hydra Market to Bitzlato were cited at 170.6 million in the
 4 Government's complaint and in two other firms retained by the
 5 Defense were cited at 171.2 and 170.3. The other way, money,
 6 crypto flowing from Bitzlato to Hydra Market, the Government
 7 cited 124.4, the other firm cited 121 and 124.9. The sort of
 8 sideways reference to that is on page 12 of the report, which
 9 it notes in passing that direct crypto transfer volume
 10 estimates largely agree between the U.S. Government and the
 11 two private companies and are within .4 percent and
 12 2.7 percent of the other.

13 That sounds really dry and technical and not very
 14 compelling, and I think that is extremely unfavorable to the
 15 Defense argument. In laymen's terms, what this report says is
 16 that the Government was completely right about the hundreds of
 17 millions of dollars that flowed directly to Bitzlato and Hydra
 18 and that would put us in the plus-28 bracket under the
 19 Guidelines, so the second-to-top bracket.

20 I don't want to belabor this point any further, but
 21 I didn't want to leave that argument unresponded to,
 22 Your Honor.

23 THE COURT: Well, thank you very much, Mr. Mindlin.

24 Mr. Schamel, do you have anything you want to say on
 25 this point?

1 MR. SCHAMEL: Two things, Your Honor.

2 One is, I think it's important to understand
3 factually, and I think it's also undisputed, that every time
4 an account was identified as Hydra, it was shut down. And so
5 in addition to responding favorably to FBI and DOJ inquiries
6 that were made -- and I think there was a couple dozen that
7 were made to Bitzlato -- and to thousands of inquiries by
8 Russian law enforcement -- and we can sort of go into the why
9 is it done differently in Russia, these have come around on
10 the back end to ask you and you just cooperate -- knowledge of
11 Bitzlato cooperating with law enforcement in multiple
12 jurisdictions, I think it's important to understand -- and I
13 think Mr. Mindlin left this out -- when we're talking about
14 culpability as it relates to Mr. Legkodymov, you can't look at
15 it through the prism of what we have available today.

16 On page 4, the summary of findings in that exact
17 same report, Dr. Richard, who I think is -- I don't think the
18 Government is challenging his credentials, so I will just say
19 his credentials are and such, that he makes it very clear --
20 and I'm referring here just on paragraph two, which ends with:
21 Given the lack of trusted commercial tools at the time, it
22 would have been very difficult, if not impossible, for
23 Bitzlato to detect, in real-time, indirect transfers between
24 wallets and Hydra wallets in 2018.

25 That's the one that jumps to mind in the multiple

1 other references in this report, the fact we have a new set of
 2 tools available to us here in 2024. So that while the
 3 Government can make arguments about what they can find today,
 4 nobody could have found those in 2020, 2021, 2022. Those
 5 things didn't exist. And so I think it's very important that
 6 even if the numbers, as Mr. Mindlin points out, are what he
 7 thinks they are, nobody there at Bitzlato knew or could have
 8 known at that time. And if you look at the progression of
 9 Bitzlato of what they were doing and trying to do in
 10 improving, it was dramatic. But I just think you have to take
 11 some context on that.

12 THE COURT: All right.

13 Anything further?

14 MR. SCHAMEL: Not on the issue of the Sentencing
 15 Guidelines, Your Honor. Not from the Defense.

16 THE COURT: All right.

17 So, Officer Houlton, replacing your sketch on the
 18 record, replacing on the economic value the number that
 19 Probation recommended and now the 14-level enhancement that
 20 the Court believes is appropriate, what would the computation
 21 of the offense level be? If you would work that out for us on
 22 the record. Beginning with the level 8, the base level.

23 MS. HOULTON: So the base offense level would be 8,
 24 per U.S.S.G. 2S1.1(a)(2).

25 The value of the laundered funds would be 14,

1 Guideline 2B1.1(b)(1)(H).

2 There is a six-level enhancement for the Defendant
3 being aware that the laundered funds involved a controlled
4 substance, 2S1.1(b)(1)(B)(i).

5 There's a four-level enhancement for the Defendant
6 being in the business of laundering funds, Guideline
7 2S1.1(b)(2)(C).

8 That is an adjusted offense level of 32.

9 The Defendant receives three points for acceptance
10 of responsibility off and another two points for being a
11 zero-point offender.

12 And so, that comes up with a total offense level of
13 27 and a Guidelines range of 70 to 87 months.

14 THE COURT: All right. That is the Court's
15 determination of the offense level. And the parties'
16 positions are reflected on the record.

17 That moves us to the final area of inquiry, the
18 calculation -- the paragraphs that calculate and the
19 calculation of the criminal history category, which is
20 recommended by Probation as Criminal History Category I.

21 Any objections to those paragraphs or to that
22 calculation?

23 Mr. Schamel.

24 MR. SCHAMEL: No objections to the calculation or
25 the finding that he's a Level I.

1 The only thing is on Part E, paragraph -- numbered
2 paragraph 89 on page 16, the question about: Factors that may
3 warrant departure of variance: None. And I would just
4 reference the Court that I take no issue with the
5 Government -- with Probation on having this in there. But
6 subsequent to this being filed, the Government filed their
7 sentencing memorandum and made a reference to a friend as,
8 given the -- what the -- conduct that warranted that. So I
9 would put that because I think it needs to be considered as
10 part of the analysis.

11 THE COURT: We will deem it amended to reflect that
12 point.

13 MR. SCHAMEL: That's all I have, Your Honor, on that
14 issue.

15 THE COURT: And Mr. Mindlin, anything?

16 MR. MINDLIN: No objections, Your Honor.

17 THE COURT: All right.

18 So that leaves us with the calculating of the
19 Criminal History Category of I recommendation.

20 And again, Officer Houlton, just repeat for the
21 record at offense level 27, Criminal History Category I, what
22 the sentencing range would be. And also, please state the
23 restricted guideline range as well.

24 MS. HOULTON: Right, Your Honor. It's 70 to
25 87 months, but the restricted guideline for imprisonment is

1 60 months.

2 THE COURT: All right.

3 Now there is another, I guess, issue that is sort
4 of, like, hanging here.

5 Many of the documents have been filed under seal?

6 MR. SCHAMEL: Correct, Your Honor.

7 THE COURT: As I understand it.

8 Mr. Mindlin, you are proposing to file a version of
9 that on the public docket that is redacted?

10 MR. MINDLIN: That's right, Your Honor.

11 THE COURT: Is that correct?

12 MR. MINDLIN: Lightly redacted for my own filing.
13 Yes, Your Honor.

14 THE COURT: The question is to you, Mr. Schamel.
15 Are you planning to do the same? And if not, what is the
16 justification for things that are sealed?

17 MR. SCHAMEL: Thus far what has been sealed?
18 Your Honor is asking for the --

19 THE COURT: I believe that -- I think you -- my
20 recollection is I received your documents under seal. Or am I
21 wrong?

22 MR. SCHAMEL: That is correct, you received our
23 documents under seal.

24 THE COURT: They are under seal?

25 MR. SCHAMEL: That's my understanding, Your Honor.

1 THE COURT: So they should be -- I mean, obviously
2 what you added to the PSR is what piqued my recollection. But
3 that certainly would be something that those kinds of issues
4 certainly are appropriate, the sealing, as would be any issues
5 that deal with minors or health conditions or the like, but I
6 do not see the justification for the balance being under seal.

7 MR. SCHAMEL: I agree with that, Your Honor.

8 THE COURT: So we will let you work on a redacted
9 version as well.

10 MR. SCHAMEL: I think that's a perfect call, a
11 lightly-redacted.

12 THE COURT: But the last names, that is what
13 triggered it in my mind.

14 MR. SCHAMEL: Thank you, Your Honor.

15 THE COURT: All right.

16 So continuing, the record will reflect that I have
17 reviewed the PSR fully, the addendum.

18 We have also received very -- we will call them very
19 fulsome submissions by the Defense, as well as two on the
20 Defense side, one on the Government's side.

21 Does anyone believe they sent me something else in
22 writing that I have not recited?

23 Mr. Schamel.

24 MR. SCHAMEL: No, Your Honor. I don't believe so.

25 THE COURT: And Mr. Mindlin.

1 MR. MINDLIN: No.

2 THE COURT: All right.

3 That being the case, then we are back to you,
4 Mr. Schamel, for your remarks on behalf of Mr. Legkodymov.

5 MR. SCHAMEL: I think it's favorable to refer to
6 them as fulsome, Your Honor. I think they were a lot. There
7 was a lot there. This is a complicated issue.

8 There's -- this is not a straightforward Ponzi
9 scheme. Mr. Mindlin, I think, would admit that Mr. Legkodymov
10 did not get into this as a criminal. He doesn't have any
11 criminal background. He created this for a good reason. So I
12 think that we've sort of laid out a lot about him and about
13 who he is and what he's about.

14 I think there's a few things that I would like
15 Your Honor to consider, particularly given the remarks about
16 the shadow Guidelines and, sort of, what's appropriate and
17 where we are.

18 And one thing I would like to talk about, just
19 briefly, is the conditions by which Mr. Legkodymov has been
20 held.

21 And I know that Your Honor knows. I mean, just
22 yesterday there was another murder over at the jail, just --
23 and Mr. Legkodymov is back on -- on lockdown again. I tried
24 to come see him one time. He was locked down because somebody
25 had assaulted his own lawyer in the visitation room.

1 Your Honor is fully aware. I know the other courts are aware.
2 Just yesterday one of your colleagues on the bench said to a
3 gentleman in the -- with Judge Cogan in the Platinum Partners
4 case that he would have gotten jail but for the fact that he
5 would have to go to the MDC.

6 I don't fault the MDC. I've been in 50-some jails
7 and prisons in this country in my almost 27 years as a lawyer.
8 It's rare that I find someplace that makes the MCC or Supermax
9 look good, but the MDC is bad. They are underfunded, they are
10 short-staffed. I talked to some of folks that are there that
11 are, you know, assigned from the Bureau of Prisons. They're
12 coming from all over the country to fill in because they can't
13 get enough people to work there because it's so awful for
14 everyone.

15 If it's awful for the guards, you can only imagine
16 what it's like for the inmates, particularly somebody like
17 Mr. Legkodymov, with no criminal history, not a native
18 English-speaker, doesn't have any family in the area other
19 than his wife who is here in the courtroom today and would
20 like to speak to Your Honor before I'm done, and his children
21 who he has not seen in over 18 months.

22 The MDC is a horrific place. And I think Your Honor
23 is fully aware of the horrors of the MDC. And without passing
24 judgment on the Bureau of Prisons and job they're trying to do
25 there, I think it's really important to understand,

1 particularly in light of other people that are charged in this
2 type of case.

3 The other defendants in this country that come
4 through on these charges that are getting probationary
5 sentences, getting short prison camp sentences, getting
6 supervised release sentences. We've talked a lot about CZ and
7 finance in our pleadings. Your Honor is fully aware of them,
8 I'm sure.

9 But there is a gentleman who comes in, he doesn't
10 spend a minute incarcerated through his entire plea and
11 sentencing process, gets a four-month sentence and, depending
12 on how they view him with a self-surrender, the points he gets
13 for being a self-surrender and what his immigration status is,
14 which I'm not aware he could find himself in a camp.

15 And even if -- and I'm not suggesting for a moment
16 that Mr. Legkodymov's conduct warrants a sentence of 70 to
17 87 months, or even 60 months, or even 48 months that the
18 Government is asking for -- it should not be in someplace in
19 the MDC. And I know some courts, some judges in this court
20 have counted day-for-day and, you know, there's all kinds of
21 different analysis, and that's why I'm never going to be a
22 judge, that's a decision Your Honor has to make, about how we
23 credit that.

24 But when you look at the factors under 3553 and we
25 look at what we're supposed to do, what we're constitutionally

1 and statutorily obligated to do by Congress about making
 2 determinations, and you think about these various factors, the
 3 seriousness, to promote respect for law, just punishment.
 4 Just punishment? Is it just punishment for an engineer who
 5 creates an exchange that gets used by somebody else? He's not
 6 committing crimes against Americans. His company's not trying
 7 to steal money from Americans. They're trying to keep
 8 Americans off. Admittedly, he could have done a better job;
 9 he pled guilty to that. But is it just punishment to be in a
 10 place where his life is threatened?

11 And Mr. Legkodymov's life was threatened.
 12 Mr. Mindlin is aware of that. One of his first days after he
 13 was housed in maximum security prison in Miami, transported by
 14 Con-Air and Con-Bus, all the way to Texas, and then here, as a
 15 maximum security prisoner. He arrived at the MDC and, within
 16 a couple of days, a member of a gang came into his cell and
 17 threatened his life.

18 And I applaud the Government for not getting in the
 19 way, in fact, maybe even helping, getting him moved to a
 20 different part of the facility. But every day he is there,
 21 his life has been at risk. Every single day. Looking
 22 sideways at somebody, they misunderstand who he is.

23 This case certainly got a lot of press, as
 24 Your Honor knows, from the very beginning. Attorney General
 25 Garland made public statements; I sat through a speech by Lisa

1 Monaco, Deputy Attorney General Monaco at the ABA days after
2 his arrest, the former head of the criminal division. This
3 was all over the news, everywhere. People are aware of who he
4 is. We've got multiple members of the press here in the
5 courtroom today. They're reporting on it. If something
6 happens in this courthouse, it's almost instantaneously on the
7 internet in the Russian language throughout Russia, where all
8 of his customer base was.

9 He has been in danger. He has been in a horrific
10 situation and it has not been just. So I would make sure that
11 Your Honor understands just how bad -- I know Mr. Mindlin
12 asked the question, how does it pertain -- you can say that
13 it's bad at MDC, but how does it pertain to him? And with due
14 respect, as I said, I like Mr. Mindlin. I don't know if he's
15 ever set foot in the MDC.

16 And I've got to tell you, it's different when you go
17 in as an AUSA and when you go in as a defense attorney and
18 it's certainly different when you go in as a defendant. And
19 of all the places I've been, I've been to Supermax, I've been
20 to county jails, I've been to state prisons, I've practiced in
21 over 38 courts across -- 38 states across this country,
22 Your Honor, with cases. That is a bad place. And I really
23 would like Your Honor to make sure that you're thinking about
24 that when thinking about what the appropriate sentence is,
25 what is a just sentence under 3553.

1 The next question about adequate deterrence. What
2 is an adequate deterrence? I would argue that, yes, there was
3 a lot of press about this. The whole world knows that
4 Mr. Legkodymov was imprisoned, he's been at the MDC, he's been
5 there for 18 months, his exchange is gone and he's now
6 essentially destitute. Right? His life has been turned
7 completely and totally upside-down.

8 More importantly, and I think this comes to the CZ
9 finance piece that piece, even if you were to assume that
10 they're sort of analogous in their conduct -- and I would
11 argue that they're not, the record does not bear that out.
12 The e-mails and the text messages and the things that are
13 cited by the Government for CZ when they ask, by the way, for
14 36 months.

15 Thirty-six months for billions. For a company that
16 was intentionally coming into the United States, and doing
17 work in the United States, and that company was saying things
18 back and forth like hey, it's better to ask for forgiveness
19 then to ask for permission. They were intentionally doing
20 what they were doing, fully aware what they were doing, and
21 they negotiated a deal where he bought himself out. The
22 United States Government, the same task force I believe that
23 these two prosecutors are a part of, came in and asked the
24 Court for 36 months and the Court gave four.

25 So if there is going to be a deterrence factor, it

1 certainly shouldn't be on his shoulders. It should not fall
 2 on Mr. Legkodymov to send the message to the world about
 3 what's going to happen. I think this could be seen as a blip.
 4 I think that we're in a different world with crypto now. I
 5 think a lot of folks in crypto are coming in and a lot of
 6 things are happening in crypto. I don't think that there is a
 7 general deterrence factor by Mr. Legkodymov spending one more
 8 minute in any type of incarceration.

9 The issue of protecting the public from further
 10 crimes. It's of no matter I'm his lawyer, I get paid to
 11 represent him and you take my words with a grain of salt, as
 12 you should. But the reality is this is a decent, good man.
 13 As is laid out very clearly in the PSR who he is, he is an
 14 engineer, he worked in Silicon Valley, he and his wife are
 15 raising three children, they've been together since high
 16 school. This is not a criminal. This is not somebody who
 17 thought he was involved in criminal enterprise in the
 18 United States.

19 And one of the things that stands out to me, among
 20 many, about Mr. Legkodymov that I've gotten to know over the
 21 last almost two years is, he was out for a run on the morning
 22 many, many weeks after he came to the United States. He came
 23 to the United States, he sent all his information over. He
 24 properly identified who he was. He was coming here for flight
 25 lessons. He came over, he was questioned and he identified

1 the fact that he was -- he had an involvement with Bitzlato.
2 He never hid it. He never hit it at all.

3 And he was out for a run one morning many weeks
4 later when the Government sort of got together, when they
5 figured out he was in the country, let's arrest him. And when
6 he's out for a run, he comes back and he sees all of the FBI
7 federal agents in front of his house with megaphones, his wife
8 and children are upstairs, they don't speak English, they're
9 completely freaked out and he knows that they're there because
10 they're calling out for him.

11 He didn't turn around and then slink down a back
12 alley and find a way out of the country, skitter across the
13 boarder, get to Canada, do anything else. He walked up, he
14 introduced himself to the federal agents and, ultimately, took
15 the megaphone and spoke to his family and said: It's okay,
16 open the door. This is not a criminal. This is not somebody
17 that Your Honor or any judge anywhere in the world is ever
18 going to see before them again.

19 As Mr. Mindlin knows from the multiple conversations
20 he had with Mr. Legkodymov, including before I was involved in
21 this case, he was transitioning away from working in this area
22 of crypto and he has a wide variety of interests. He was
23 looking into -- he wanted to become a pilot. He's very
24 interested in electric boats. He was doing other things.
25 This solidified him getting out of crypto and he's out of

1 crypto. So the idea that we need to protect the public from
2 further crimes of Mr. Legkodymov, I don't even think
3 Mr. Mindlin is trying to argue to the contrary on that one.

4 There's no educational or vocational things that
5 Mr. Legkodymov needs, so there's really nothing else that is
6 available to him or that will help him by additional
7 incarceration.

8 I would argue, Your Honor, that his is exactly the
9 kind of case of all these others: The Tonasabo (phonetic)
10 case, the Young case, the days case, the March an case. Cases
11 here in this jurisdiction on this charge that none of whom
12 were ending up with any periods of incarceration.

13 So I think that this is a case where he has been
14 punished, there has been a specific deterrence, there has been
15 a general deterrence, the message has been sent. He has been
16 financially and personally destroyed. All he has now is his
17 wife and his children and he wants to get back to them.

18 And Your Honor's aware, because I've raised it in
19 our bail request, that because he overstayed his visa because
20 he couldn't renew it because he was charged -- obviously he
21 didn't do it intentionally and he came into the United States
22 legally -- he now has an immigration case. So he is going to
23 be dealing -- even if Your Honor were to say "I believe
24 Mr. Legkodymov should get probation, I think he should be
25 released today, immediately," he will not be. That is a fact.

1 There is an entire process he's going to have to go through
2 with the immigration courts.

3 And there's a case that we rely on in the District
4 of Columbia Federal Court called the *Smith* case that talks --
5 and Your Honor may be familiar with it. It went up to the
6 D.C. Circuit. And it talks about the idea that when you have
7 two people that are doing the exact same thing and one of them
8 is going to do a year and a day, which is going to be like 8
9 or 10 months because of all the good-time credits and early
10 release to the halfway house, but the other person for the
11 exact same thing, because he's a noncitizen and because of
12 immigration issues, could end up that year and a day being
13 three years, the Court can consider that. This is back when
14 the Guidelines were mandatory. But I think it's very
15 illustrative of what we should be dealing with here.

16 Mr. Legkodymov does not deserve more jail. He
17 candidly doesn't deserve the jail he's already had, and he
18 certainly doesn't deserve it under the conditions under which
19 he's been through.

20 And I don't hold the Government responsible for
21 that, except for the fact that everybody in this room knows
22 he's never been a danger. We've all conceded that. It's
23 always been a question of flight. Why did he have to stay
24 there? Well, he did. They fought us. Every time we asked
25 for him to be released to a halfway house, to some other

1 lesser conditions in some better place, they said no. So he's
2 done 18 months. He's been caged like an animal in a very bad
3 zoo. That's enough.

4 I think, Your Honor, under the alternative
5 Guidelines, which we have just talked about because Your Honor
6 raised them and we put it in our filings, that it's -- clearly
7 he's done more than he would need to do under the alternative
8 Guidelines and I could not agree with Your Honor's sentiment
9 on that position any more.

10 Finally, Your Honor, I would like -- I don't think
11 we need to talk about some of the things because I think
12 Mr. Mindlin properly put them in his pleadings, talked about
13 some of the things that have happened during the course of
14 incarceration, Your Honor is aware of them, so I will let them
15 go.

16 But I would like an opportunity -- Mr. Mindlin --
17 excuse me.

18 Mr. Legkodymov's wife is here and she would like a
19 moment to speak to the Court. She's prepared a statement.
20 And with the Court's permission, although she doesn't speak
21 English, the Russian interpreter has met with her, has looked
22 at the statement, and has agreed to assist her if she would be
23 permitted to come forward and just give the Court a little bit
24 more than just hearing from his lawyer what a good man he is
25 and a good father and really someone who is worthy of grace.

1 THE COURT: Well, it is quite unusual. It's not --
2 at least in my part. But under the current circumstances, I
3 am willing to approve your request and allow her to speak.

4 MR. SCHAMEL: May I call her forward, Your Honor?

5 THE COURT: You may.

6 MR. SCHAMEL: Would Your Honor like her at the --

7 THE COURT: Well, she needs a mic. I don't know if
8 the witness box may be the most convenient William. She
9 doesn't have to be sworn. But it has a mic.

10 MR. SCHAMEL: That's fine.

11 THE COURT: Which we hope it's working. It might be
12 easier for the interpreter that way as well.

13 Mr. Schamel, is the plan for Mrs. Legkodymov to read
14 it in the Russian language and have the interpreter
15 simultaneously translate?

16 MR. SCHAMEL: I think that would be okay. That was
17 my hope, is that Mrs. Legkodymov --

18 THE COURT: However it is that they have worked it
19 out, we will do.

20 MR. SCHAMEL: I believe that's correct.

21 Mrs. Legkodymov is going to read it and the
22 interpreter will interpret.

23 THE COURT: That is okay with the interpreter?

24 THE INTERPRETER: Yes.

25 We're going to read short paragraphs because it's a

1 long allocution. Short paragraphs, and then I will read it in
2 English. I believe that would be easiest.

3 THE COURT: Whatever way is easiest for the
4 interpreter.

5 THE INTERPRETER: Thank you.

6 MRS. LEGKODYMOV: My name is Alena. I'm Anatoly's
7 wife. Anatoly and I have known each other for a long time.
8 We have been married for almost 20 years. We have three
9 wonderful children. My spouse is a very loving, caring,
10 sensitive, attentive, kind and honest father and husband. He
11 is my friend and my support and I could write a book about him
12 and how he has changed my life.

13 Our most memorable and touching story is Anatoly's
14 presence in the delivery room during the birth of our three
15 children. Not every person would dare to be with his wife
16 throughout the entire process. As a family, we would joke
17 about it: Our dad is a software doctor.

18 Our children miss their dad very much. Father's
19 case and contribution of upbringing in upbringing is very
20 important for them. Unfortunately, after Anatoly's arrest,
21 our children had a lot of psychological issues and stress.
22 I'm also still under stress to this day. It was a big news to
23 me to read in the newspapers that the U.S. Government
24 considers my spouse a criminal. I still can't believe it.

25 If my spouse knew he was doing something illegal,

1 outside of the law, he would never have jeopardized his
2 family. We wouldn't have traveled freely around the world or
3 would have come to the U.S. of our own free will if we knew
4 that we were breaking the law. My husband would not have been
5 so open in his actions if he thought he was a criminal.

6 I could have left the country with my children after
7 his arrest, but I did not do so because I believe in American
8 justice. And I hope that despite all the troubles that have
9 befallen us, we will be able to build our lives, be reunited
10 together and have a strong family again.

11 My spouse is not the kind of person who would flee
12 from justice. Even living in another country, if he were
13 charged, he wouldn't hide. He would gladly come to the
14 country that accused him for the legal proceedings. It's hard
15 to believe, but there are still honest people out there, too.

16 For the past year and a half, I've lived with a
17 feeling that part of my body was taken away from me. My
18 spouse and I have never been apart for so long. It's hard for
19 me to eat and sleep properly knowing that my husband is in
20 prison. My children and I are learning to live without him
21 and we're facing a lot of difficulties.

22 Anatoly has always taught us to be better people.
23 Our family values are strong. We care about animals. We care
24 about nature. We have not eaten animal products for the past
25 14 years. We have no bad habits. We love to exercise, hike

1 and bike. My spouse has always taught us that if we want to
2 change for the better, we must start with ourselves. We can
3 only teach our children to be good people if we ourselves try
4 to become better people every day. He is the reason that I'm
5 still able to stay strong. I believe the best thing I can do
6 is to keep our family together until he comes home.

7 I ask the Court to treat Anatoly's case with --
8 honestly and fairly and understand his loyalty.

9 THE COURT: Does that conclude the statement?

10 THE INTERPRETER: Yes, that's it.

11 THE COURT: You may resume your seats.

12 MR. SCHAMEL: Your Honor, other than pointing out
13 that Mr. Legkodymov's children are not here, made a
14 determination they were just not old enough to be brought to
15 court, but I wanted to Your Honor know they do fully support
16 him as their father.

17 And Mr. Legkodymov would like to make a final
18 statement after the Government's remarks.

19 Unless the Court has any questions for me, I have
20 nothing else to add.

21 THE COURT: I have no further questions for you,
22 Mr. Schamel.

23 But I will take Mr. Legkodymov's statement now if he
24 wants to make one.

25 MR. SCHAMEL: Would you like him to stand?

1 THE COURT: He can remain seated, speak into the
2 mic.

3 And again, I want to advise you of your right to
4 make a statement, Mr. Legkodymov, but also remind you that you
5 are not obligated to speak at all. But if you do wish to
6 avail yourself of your right to speak before sentencing, now
7 is your opportunity.

8 THE DEFENDANT: Thank you, Your Honor.

9 I have spent over 18 months reflecting on what
10 happened to me. How did creating the company go so wrong? I
11 realize now that as the founder of Bitzlato, I could have done
12 more. Our reliance on following what the monies do and our
13 AML KYC we were putting in was not enough. I had my trust in
14 colleagues and I did not push harder to do more.

15 This ruined -- this has ruined my life. I have been
16 away from my family for almost two years. From the moment I
17 saw federal police at our rented apartment, I have seen my
18 life torn apart. I have lost my freedom, my company and
19 everything I had earned. I know I am starting over and only
20 want the chance to do this with my family in America.

21 I realize I failed. I realized I could have done
22 more. I have spent every day wishing I had and I had not done
23 this to my family, what I had done and had not done to my
24 family. My children are suffering because I did not do more.

25 I have been taught a terrible lesson at the MDC.

1 The MDC has been a horrible, scary and awful experience for
2 me. I have not slept well or felt safe since my arrival to
3 this jail.

4 I ask only that Your Honor understand that I am not
5 a bad person and I am worthy of a second chance.

6 THE COURT: That completes your statement,
7 Mr. Legkodymov?

8 MR. SCHAMEL: It does, Your Honor.

9 THE COURT: All right. Thank you very much.

10 Mr. Mindlin, do you wish to be heard on behalf of
11 the United States?

12 MR. MINDLIN: Briefly, yes, Your Honor.

13 We're not here today because Mr. Legkodymov is a bad
14 person. We're not here because he is personally dangerous.
15 We're not because he's a bad husband or a bad father.

16 We're here because of the effect of something he
17 did. He created an institution that he knew would allow
18 criminals to thrive. He founded and operated a cryptocurrency
19 exchange whose fundamental premise was that no questions would
20 be asked. All of the other facts in this case flow from that
21 decision. Under his control, Bitzlato became a clearinghouse
22 for dirty money.

23 Your Honor heard eloquently from people in the
24 Defendant's life about himself and his character and I won't
25 controvert that. But I want to remind the Court that the

1 reason we're here is that actions like these have really
 2 serious consequences. They exert harms. You don't have to be
 3 a bad father to generate those harms, you don't have to be a
 4 bad husband. What you're like in your personal life is
 5 actually irrelevant because the crime here is an enabling one.
 6 The victims of these crimes were the people who were extorted,
 7 who had their identities stolen, who had their lives ruined by
 8 drugs because of the criminals who flocked to Bitzlato.

9 And the Defendant knew that it was happening. He
 10 was warned time and again that criminals were using his
 11 exchange to launder drug proceeds, to launder ransoms, to
 12 purchase fake credentials and stolen passports. We have heard
 13 arguments at length that this was knowable only in retrospect,
 14 that the Defendant couldn't have known at the time what was
 15 happening. That's just not true. The Defendant openly
 16 acknowledged through his fellow executives that Bitzlato's
 17 users were in the drug business and that its customers
 18 regularly signed up for their own accounts using fake names
 19 and credentials. I won't rehash those communications, which
 20 are referred to at length in our submissions.

21 But even without those communications, even if the
 22 Defendant had never been told about the dirty money flowing
 23 through this platform, it was a consequence of Bitzlato's
 24 design. The Defendant effectively created a bank that did not
 25 require ID cards or other know-your-customer information, what

1 is sometimes called KYC. His own marketing people recognized
2 this. They made a pro/con chart where the pro was no KYC and
3 the con was dirty money. The results of that were predictable
4 that Bitzlato became a clearinghouse for cryptocurrency.

5 And the broader context is important because we live
6 in a world where it's actually really difficult to convert
7 cryptocurrency anonymously to see that money. You can
8 generate crypto through crimes, but then you're stuck with it
9 until someone comes along who will convert it for you at
10 scale, and the places that will do that are rapidly
11 disappearing. That was Bitzlato's stock and trade. That was
12 its selling point, that it was such a place. And that's why
13 we're here today, Your Honor.

14 THE COURT: Thank you, Mr. Mindlin.

15 The, I think, subtext -- and I wanted to ask you
16 this question.

17 The subtext seems to be that what the Government
18 believes is Mr. Legkodymov's failing is by not closing the
19 business entirely; am I correct in that?

20 MR. MINDLIN: The Government believes that the crime
21 was owning and operating a business that the Defendant knew
22 was transmitting funds.

23 I'm quoting this statute, but not to be mechanical,
24 that the Defendant knew -- funds the Defendant knew were
25 either the proceeds of crime or going to be used for crime.

1 There would have been different ways to deal with that.

2 The Defendant could certainly have said, as he
3 threatened for years, I'm not going to run this business
4 anymore because I don't want to be a money launderer. That
5 didn't happen.

6 He could have fixed it. And he has, I think, argued
7 strenuously that that wasn't possible and that it wasn't
8 fixable.

9 We're not trying to propose what it is that he could
10 have done to not commit the crime, but he knew for years that
11 the crime was happening and that he was committing it.

12 THE COURT: And do you contest Mr. Schamel's
13 statement that under the laws of Hong Kong, where it was
14 created, that it was operating lawfully?

15 MR. MINDLIN: I don't know enough with Hong Kong
16 law, actually, to answer that, Your Honor.

17 THE COURT: All right.

18 MR. MINDLIN: But I will say that the Defendant's
19 own communications with his fellow executives evinced an
20 understanding that what they were doing was criminal. The
21 Defendant made comments about how after the arrest of Cathy
22 Meng, the Huawei executive in Canada, the Defendant commented
23 to a colleague that he needed an island that was armed to the
24 teeth. Something like: We're next. The Defendant commented
25 after the shutdown of Hydra Market: We're next if we don't

1 clean up. So this was not a world in which the Defendant was
2 proceeding sort of merrily unaware. The thing that he did,
3 money laundering, would be illegal anywhere.

4 THE COURT: And I presume you also cannot contest
5 that there were also transactions on the site that were
6 perfectly lawful under not only American law but probably law
7 anywhere.

8 MR. MINDLIN: I'm sure that was so, Your Honor.

9 THE COURT: Sort of like the Post Office.

10 MR. MINDLIN: Like the Post Office. But imagine the
11 Post Office where someone says 25 percent of the mail has
12 drugs in it.

13 THE COURT: Would you tell the Postmaster General to
14 go out of business?

15 MR. MINDLIN: We might tell him that he should look
16 at the numbers again.

17 THE COURT: All right. Thank you very much.

18 As is my normal practice, I will announce my
19 intended sentence and the reasons.

20 MR. SCHAMEL: May I say one brief thing?

21 THE COURT: Mr. Schamel.

22 MR. SCHAMEL: I appreciate the tone of Mr. Mindlin's
23 remarks. I just want to make one comment.

24 For his purposes, for his role in this adversarial
25 proceeding, the fact of is he a good father and all these

1 other things may be irrelevant to whether or not they should
 2 charge him, but that's not what we're here to decide today.
 3 We're here for a sentencing, and the question is what is the
 4 just punishment for the reasons under 3553. And every one of
 5 those things that Mr. Mindlin sort of brushes aside because
 6 they're not relevant to his analysis are very much relevant
 7 for this analysis.

8 MR. MINDLIN: Mr. Schamel is right on the
 9 Defendant's character matters. I am trying to refocus the
 10 Court on what the Defendant actually did and which is my job
 11 to remind us.

12 THE COURT: Yes, my inquiry was on that point and
 13 not on character.

14 MR. MINDLIN: Sure.

15 THE COURT: In any event, obviously this is a
 16 complicated case, so it is probably more appropriate here,
 17 though I try to do it in all cases, and that is to announce my
 18 intended sentence and the reasons for it and then give counsel
 19 an opportunity to point out any illegality in what I am about
 20 to do. It gives me a chance to consider it and avoid an error
 21 that would bring us all back to do it again, though it is not
 22 an opportunity to relitigate things you may be unhappy about
 23 but you understand that within my lawful sentencing
 24 prerogatives.

25 The record will also reflect that though advisory,

1 the Court has fully considered -- I think the record is ample
2 that we have all fully considered the Guidelines promulgated
3 by the United States Sentencing Guidelines Commission relevant
4 to this case.

5 The Court has fully considered the presentence
6 report, the addendum to it; the submissions, two submissions
7 by the Defense in connection with sentencing, the submission
8 by the Government in connection with sentencing.

9 I've considered the arguments of counsel here at the
10 sentencing hearing, the remarks of Mrs. Legkodymov and the
11 remarks by Mr. Legkodymov at the time of sentence.

12 And this is the Court's intended sentence and the
13 reasons for it.

14 As I say, the case is a complicated one. It is not
15 only for purposes of sentencing, but for purposes of just
16 trying to understand the market itself. And I guess maybe the
17 fact that it is called cryptocurrency, that the use of the
18 word "crypt" may give it a bad connotation. But trying to
19 understand the business itself is a difficult one.

20 There is no -- it seems to me it is beyond
21 reasonable question that the entity that was created and
22 operated, and at some point even the acting CEO by
23 Mr. Legkodymov, did force it -- foster, as Mr. Schamel said at
24 the time of the plea allocution, illicit transactions. Now,
25 whether all of those transactions or how many of those

1 transactions actually touched base in the United States, that
2 is where the battle royal was on the economic value to be
3 determined.

4 But there is no doubt that the operation that was
5 set in motion by Mr. Legkodymov and primarily had a focus in
6 China and the former Soviet Union had tentacles that reached
7 everywhere on the globe, which might ultimately be expected.

8 And in Mr. Legkodymov's own statement at the time of
9 sentencing, he acknowledges that he could have done more.
10 There is certainly an issue, I sort of call it a rear-view
11 mirror issue like my -- I'm -- Mr. Schamel's comments are well
12 taken that we're looking back at things through the prism of
13 where we are in 2024 and not so easy to have recognized means
14 and methods to deal with what, at minimum, Mr. Legkodymov
15 suspected was happening. And for purposes of my calculation,
16 sufficient to know that indeed it was happening and it did
17 touch, impact in the United States and justifying the
18 prosecution that has been brought by the Government.

19 I will also say that it didn't come here for
20 extensive argument at the time of sentencing that there --
21 that some of the other prosecution decisions that were made
22 gave the Court pause. Though having been a sentencing judge
23 for a long time, I understand they are all unique and at times
24 there are things that are critically important in a sentencing
25 that do not appear in the public record. So it is very

1 difficult to compare, even for purposes of trying to get the
2 disparate sentencing determinations, to compare different
3 dockets and the results of those different dockets with the
4 case on the docket before the sentencing judge.

5 It has always been my view that given the heavy
6 reliance on the official Guidelines with the numbers game that
7 somehow the numbers have some equivalency to moral torpitude;
8 that the bigger the number, the higher moral torpitude. That
9 is just not the way human beings work, from my experience,
10 which is why I long-favored the approach taken by the American
11 Bar Association and reflected in the shadow Guidelines.

12 And you can see the various levels of distinction
13 where the original PSR had the offense level. I guess it was
14 up around 40, 43, or wherever the number was, and then down to
15 the recalculation that we made using the anecdotal evidence of
16 ransomware transactions in the United States. That comes down
17 to 27.

18 In my calculation of the shadow Guidelines -- and
19 there is obviously a certain amount of leeway in all of these
20 calculations. In my calculation of the shadow Guidelines, I
21 had the offense level at around -- after not only the initial
22 calculation but also the reduction for timely acceptance and
23 the no-point mitigation level as well, down to around a 13 or
24 a 14, which essentially puts the sentencing range just about
25 where Mr. Legkodymov is now in the time that he has actually

1 served.

2 And you will get no quibble from me, Mr. Schamel,
3 about the terrible conditions at MDC. It has been the bane of
4 this court and our sister court across the bridge for several
5 years now.

6 And we know that there are many, many hard-working
7 officials at the Bureau of Prisons trying to fix it. The
8 outstanding work that has been done by our own United States
9 Attorney's Office and the assistants in trying to deal on the
10 ground with specific issues that have come up, they have been
11 superlative in their responsiveness.

12 It seems to be an impracticable problem. The
13 inability to find people who want the jobs, I don't know what
14 kind of comment that -- I don't know if that makes a comment
15 about the job or it makes a comment about our economy,
16 frankly, that people can find better things to do financially
17 than to do the hard work of being an officer and patrolling
18 some of the toughest streets in the world, the streets
19 outlined, are -- detention facilities in particular.

20 So yes, it's a terrible place and the Court does
21 consider that. And to the extent that the shadow Guidelines
22 would have pointed to an additional period of incarceration,
23 it certainly would be more prominent in the sentencing
24 determination.

25 But practically speaking, Mr. Legkodymov came into

1 the system being someone who led what would be considered a
2 life to be admired: Highly educated, hard-working, married to
3 a wonderful woman, the father of three wonderful children, an
4 entrepreneur, a visionary with respect to prospects for
5 development, electric cars, electric boats, whatever else is
6 the subject of his fertile mind.

7 And then comes this, comes the creation of Bitzlato.
8 And he put on very thick blinders, which is always a concern
9 in white-collar crimes because there is always that evaluation
10 that the white-collar criminal makes, you know, evaluating
11 whether or not they are going to catch me at all or what kind
12 of exposure would I have if they do.

13 And certainly there are the various statements and
14 e-mails and the like that Mr. Legkodymov made that would
15 suggest he was aware of what he was doing, he was aware of the
16 illicit nature of what he was doing, though it certainly was
17 not exclusively what he was doing and may not have been even
18 intended. But it certainly was accepted. And he elected not
19 to shut down the company, which he seemed to threaten to do
20 every now and then, which certainly strongly suggests that he
21 would not have raised that as a possibility if he did not
22 realize how realistic the understanding that he was operating
23 a business that was engaged in illicit conduct.

24 So for all of those reasons, following the shadow
25 Guidelines, a sentence within those Guidelines is appropriate,

1 which in this case the intended sentence of the Court with
2 respect to custody is a sentence of time served.

3 Though the PSR would suggest that a fine would be in
4 order, the Court is not going to impose a fine. I think the
5 decimation of who Mr. Legkodymov was and the resources that he
6 had has become fairly apparent.

7 The Court does, however, intend to impose a \$100
8 statutory special assessment.

9 The Court has entered and proclaims an order of
10 forfeiture, which I believe is limited to various equipment
11 that has been seized by the Government.

12 And the Court, given especially now that he has set
13 up shop with his family in Pennsylvania, that though he does
14 not have legal status in the United States and that could
15 excuse supervised release, the Court intends to impose a
16 period of two years of supervised release, finds that the
17 mandatory testing condition is not appropriate given the
18 findings of the Probation Department that he is not likely to
19 be involved in the use of illicit substances.

20 And the deputy clerk will read into the record the
21 proposed special conditions of supervised release which are in
22 addition to the standard conditions of supervised release.

23 THE COURTROOM DEPUTY: Upon request, the Defendant
24 shall provide the U.S. Probation Department with full
25 disclosure of his financial records, including commingled

1 income, expenses, assets and liabilities, to include yearly
2 income tax returns.

3 With the exception of financial accounts reported
4 and noted within the presentence report, the Defendant is
5 prohibited from maintaining and/or opening any additional
6 individual and/or joint checking, savings or other financial
7 accounts for either personal or business purposes without the
8 knowledge and approval of the U.S. Probation Department.

9 The Defendant shall cooperate with the probation
10 officer in the investigation of his financial dealings and
11 shall provide truthful monthly statements of his income and
12 expenses.

13 The Defendant shall cooperate in the signing of any
14 necessary authorization to release information forms
15 permitting the U.S. Probation Department access to his
16 financial information and records.

17 The Defendant shall cooperate with and abide by all
18 instructions of immigration authorities.

19 And if removed, the Defendant may not reenter the
20 United States illegally.

21 THE COURT: That is the intended sentence of the
22 Court and the reasons for it.

23 Does either side take exception or objection to any
24 part of it?

25 Mr. Schamel.

1 MR. SCHAMEL: Before I forget. I think our bail, we
2 have a pending bail motion that's moot, so we would just
3 withdraw that, Your Honor. I just forgot that at the
4 beginning of the day.

5 The question of the forfeiture, I think that the
6 Court has already entered the order.

7 THE COURT: I did.

8 MR. SCHAMEL: We have asked the Government, they are
9 entitled to the forfeiture of these items, but there are some
10 personal things, photographs, other things, and I would just
11 ask that the Government allow us, however they want to
12 supervise it or oversee it, to get those personal things off
13 the various computers, the photographs and those type of
14 things, provide us a thumb drive before they're disposed of.

15 And I think, Your Honor -- and I don't have any of
16 the cites for this, but I can find one. So if I am wrong, I
17 apologize in advance. I don't believe that a sentence of,
18 quote, "time served" can be the sentence for the purposes of
19 the Bureau of Prisons and for calculations. I think it has to
20 be, if I recall -- this is a case many years ago in a
21 different jurisdiction, but I think it has to be a definitive
22 number.

23 And so what I would ask Your Honor is that
24 Your Honor adopt the definitive number that we had requested
25 of 364 days. Because whether it's 364 days or a year and a

1 day or anything like that, it would still be the effect of a
2 time-served. But for the reasons we raised in our pleading,
3 we would have a significant difference for Mr. Legkodymov to
4 be a 364-day sentence. Particularly, if Your Honor's
5 intention is that he be released and it's as I understand it.

6 THE COURT: Yes, the intention would be that from
7 custody purposes related to this offense, that his sentence
8 would be concluded.

9 MR. SCHAMEL: Correct.

10 But I think whatever number Your Honor says, it has
11 to be a definitive number. I don't think that we can say
12 "time served." I think it has to be a number on the J&C
13 order. And what I'm requesting is the definitive number of
14 364 days.

15 MS. HOULTON: Your Honor, that's not correct. It
16 can just be "time served" on the judgment.

17 THE COURT: We have always done it that way,
18 Mr. Schamel. I don't know what --

19 MR. SCHAMEL: I had it come up one time. Maybe it
20 was in state court. So that's why I'm not certain.

21 THE COURT: We have done it rather routinely here,
22 so I don't -- I have never heard of...

23 MR. SCHAMEL: Okay.

24 THE COURT: Mr. Mindlin, do you have anything to
25 contribute here to help me?

1 MR. MINDLIN: I agree with Your Honor that time
2 served is routinely a sentence we impose.

3 MR. SCHAMEL: If that is the case, if Your Honor is
4 right -- as I said, I don't have a cite to that. I don't know
5 that I'm right on that. I just wanted to raise the issue so
6 we weren't --

7 THE COURT: I will say this to you.

8 To the extent that we are operating under a
9 principle that turns out to be erroneous, there is a provision
10 under the Rules that that would be an erroneous calculation,
11 not a resentence.

12 MR. SCHAMEL: Correct. I think it's Rule 34.

13 THE COURT: Yes. It's in the thirties somewhere.
14 35, 34.

15 MR. SCHAMEL: I think that's correct, Your Honor.

16 THE COURT: But the time served as in the Court's
17 sentence, so it is clear, is that that is all time related to
18 this charge has been served and he is, from that perspective,
19 free to go.

20 MR. SCHAMEL: Understood. Understood.

21 And as you've seen in our pleadings, the 364, this
22 is the triggering number, which is why I was looking for
23 specificity. That's why I was asking for that.

24 THE COURT: I didn't know if that was related to
25 when you filed the papers.

1 MR. SCHAMEL: What it is, is that at the one-year
2 mark, it changes the assessment for something that's
3 determined whether it's a crime of --

4 THE COURT: Yes.

5 MR. SCHAMEL: -- moral torpitude.

6 THE COURT: And I think that is the point, is that
7 under this sentence he is not going anywhere. There is not
8 going to be a designation because he has already completed his
9 time.

10 MR. SCHAMEL: Yes, but because of the immigration
11 detainer --

12 THE COURT: The last time I checked, by the way,
13 there is no immigration detainer. At least I was told there
14 was none.

15 MR. SCHAMEL: We were informed of a prior -- I was
16 told at a prior hearing that there was. I think it was the
17 bail hearing. I think Mr. Mindlin was there. Maybe it was
18 his co-counsel.

19 MR. MINDLIN: Not sure.

20 MR. SCHAMEL: But my understanding was there was an
21 immigration detainer. And if there's not, there can be one as
22 of today and that's why we were asking.

23 Because the one-year mark is a difference for the
24 calculation for whether or not he's going to be now held for
25 six months in immigration jail or whether it's going to get

1 released. And if it's less than a year, it's not a crime
2 involving moral torpitude.

3 THE COURT: Well, in all the cases that we have had
4 here, it does not matter what the sentence is, it is what the
5 sentence that is available. So a crime of moral torpitude is
6 a crime for which a sentence can be imposed for a year and a
7 day or more and it does not matter whether you got 6 months,
8 9 months, 11 months, it is still a crime of moral torpitude.

9 MR. SCHAMEL: I'm not an immigration lawyer,
10 Your Honor. It's what was informed to me by the immigration
11 counsel.

12 THE COURT: I don't know, that may be different
13 under state law someplace. But in my dealings, it does not
14 change the nature of the crime.

15 MR. SCHAMEL: I agree.

16 THE COURT: The sentence that the Court may impose
17 does not convert a crime of moral torpitude to one that is
18 not.

19 MR. SCHAMEL: Again, Your Honor, that wasn't my
20 understanding from immigration counsel; that it was aggravated
21 felony crime of moral torpitude was based on the actual
22 sentence that was handed down. And that was my understanding.

23 THE COURT: I don't know.

24 Fortunately, the only times I deal with immigration
25 is if I sit by designation on the Court of Appeals somewhere.

1 MR. SCHAMEL: I would never willfully do so.

2 THE COURT: Mr. Mindlin.

3 Anything other than that, Mr. Schamel?

4 MR. SCHAMEL: No. That was the only issue I had,
5 Your Honor.

6 THE COURT: Mr. Mindlin, you have no issue, first of
7 all -- where I interrupted -- on the personal items that might
8 be included in those objects forfeited?

9 MR. MINDLIN: Yes, we're happy to try to extract
10 personal files off the devices.

11 THE COURT: And then with respect -- any other legal
12 objection or exception?

13 MR. MINDLIN: No. No legal objection, Judge.

14 THE COURT: All right. Thank you to counsel on both
15 sides.

16 There being no other legal objection or exception
17 taken, then the intended sentence of the Court as announced is
18 adopted and incorporated as the sentence imposed.

19 The reasons given for the intended sentence are also
20 adopted and incorporated as the reasons for the sentence
21 imposed.

22 There was an appellate waiver, Mr. Mindlin, in this?

23 MR. MINDLIN: Yes, there was an appellate waiver at
24 60 months, Judge. Six-zero.

25 THE COURT: All right.

1 So the Court advises you, Mr. Legkodymov, you have a
2 right to appeal your conviction and sentence if you believe
3 your guilty plea was involuntary or if there was some other
4 fundamental defect in it. You have a right to appeal the
5 sentence itself if you believe it is contrary to law.

6 However, you have entered into a plea agreement that
7 contains an appellate waiver, a waiver that waives your right
8 to appeal the conviction or to challenge your sentence.

9 Generally, those appellate waivers are found to be
10 enforceable, but if you believe that the appellate waiver in
11 your plea agreement is not enforceable, you are free to
12 present that argument to an appropriate appellate court.

13 If you do wish to file a notice of appeal and cannot
14 afford to pay the filing fee, you may advise the Clerk of the
15 Court of that fact and she will prepare and file a notice of
16 appeal for you in forma pauperis.

17 Please take further notice that ordinarily any
18 notice of appeal must be filed in the Clerk's Office within
19 14 days of the entry in that office of the order or judgment
20 to be appealed.

21 Mr. Mindlin, I believe this was a one-count
22 information?

23 MR. MINDLIN: Yes, Judge.

24 THE COURT: Are there any underlying charges?

25 MR. MINDLIN: There are no underlying charges.

1 THE COURT: Alright, then.

2 That being the case, there is nothing further to be
3 handled other than, Probation Officer Houlton, when we figure
4 out whether or not there is a detainer.

5 If there is no detainer, then Mr. Legkodymov should
6 be working with Probation today?

7 MS. HOULTON: Yes, Your Honor.

8 I will give his attorney instructions.

9 THE COURT: All right.

10 Anything further before we adjourn?

11 MR. SCHAMEL: Not for Mr. Legkodymov, Your Honor.

12 THE COURT: All right.

13 That being the case, then Mr. Legkodymov, we wish
14 you well. We appreciate your contriteness and your remarks to
15 the Court before sentencing. You are a man of enormous
16 talent. You are fortunate to have a wonderful family. Put
17 the two of them together and we wish the rest of your life
18 will be well rewarded. So, good luck to you.

19 THE DEFENDANT: Thank you, Your Honor.

20 THE COURT: You're welcome.

21 And we thank counsel on both sides for their
22 excellent presentations, both orally and in their written
23 submissions.

24 And that being the last item of business, we are
25 adjourned.

1 MR. SCHAMEL: Thank you, Your Honor.

2 THE COURT: You're welcome.

3 MR. SCHAMEL: And let me just say before Your Honor,
4 your chambers was wonderful. We were not here. It was all
5 remote. And the scheduling and working with us, we very much
6 appreciate it.

7 THE COURT: I appreciate hearing that. Thank you.
8 (Matter concluded.)

9

10 * * * * *

11

12 I certify that the foregoing is a correct transcript from the
13 record of proceedings in the above-entitled matter.

14 /s/ Andronikh M. Barna

July 26, 2024

15 _____
ANDRONIKH M. BARNA

DATE

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